# Apple Investment Due Diligence

**NEXUS RESEARCH DESK | PUBLIC EVIDENCE REVIEW**

| DOCUMENT CONTROL | DETAIL |
|---|---|
| **Target** | Apple |
| **Transaction** | Public evidence review for public equity |
| **As-of date** | 6 November 2026 |
| **Currency / unit** | USD millions unless stated |
| **Prepared by** | Nexus Research Desk |
| **Review status** | Research draft. Independent sign-off pending |
| **Linked financial workbook** | apple-due-diligence.xlsx |

Research as of 6 November 2026. Filed facts, company announcements and analyst assumptions are identified separately.

## 1 Executive Investment Assessment

| DECISION ITEM | ASSESSMENT AND OPEN ITEMS |
|---|---|
| **Preliminary disposition** | Defer pending verification |
| **Core thesis** | The integrated hardware, software, and services ecosystem supports recurring engagement and pricing power. A sustainable underwriting case still depends on iPhone mix and Services margin. |
| **Indicative transaction** | No transaction terms or executable price assumed. |
| **Investment test** | iPhone mix and Greater China sales |
| **Conditions precedent** | Reconcile normalized working capital and run a combined iPhone mix and Services margin stress. |
| **Disconfirming evidence** | The FY2026 comparison benefited from strong Pro demand and a working-capital swing. Both can normalize while platform rules and manufacturing costs move against margins. |

## 2 Business and Competitive Position

FY2026 cash generation improved sharply. The diligence question is how much of that improvement can survive a slower upgrade cycle. The integrated hardware, software, and services ecosystem supports recurring engagement and pricing power. A sustainable underwriting case still depends on iPhone mix and Services margin.

| TEST | EVIDENCE REQUEST | ANALYST INTERPRETATION / ACTION |
|---|---|---|
| **Market size** | Segment filings and independent demand data | Build a bottom-up range. No verified TAM is assumed. |

| TEST | EVIDENCE REQUEST | ANALYST INTERPRETATION / ACTION |
|---|---|---|
| **Competitive advantage** | FY2026 10-K · Item 7 · Products and Services Performance | iPhone net sales rose from $209.6B to $254.1B, accounting for about 71% of the increase in consolidated net sales. The filing attributes iPhone growth primarily to Pro models. |
| **Revenue concentration** | FY2026 10-K · Item 8 · Consolidated Statements of Cash Flows | Operating cash flow rose from $111.5B to $145.1B. Payables and other liabilities contributed positively, while inventory absorbed cash. The cash-flow uplift should be reconciled before extrapolation. |
| **Growth quality** | FY2026 10-K · Item 7 · Services | Services reached $123.3B of net sales. The filing cites advertising and cloud services as the principal drivers of growth. Underwrite the durability of this mix separately from hardware replacement. |
| **Regulation** | Public filings and relevant case dockets | Review App Store litigation and regulatory remedies, supplier concentration, succession and privacy controls. Quantify distribution economics under alternative app terms. |

## 3 Financial Diligence and Earnings Quality

USD millions. Audited fiscal years. Cash capital expenditure is payments for property, plant and equipment. FY2026 ended September 26. FY2024 revenue 391,035, operating income or loss 123,216, and operating cash flow 118,254, with cash capex of 9,447. FY2025 revenue 416,161, operating income or loss 133,050, and operating cash flow 111,482, with cash capex of 12,715. FY2026 revenue 478,834, operating income or loss 158,063, and operating cash flow 145,097, with cash capex of 9,041.

| RECONCILIATION | SOURCE | PROCEDURE | OPEN ISSUE |
|---|---|---|---|
| **Revenue** | Primary issuer filing | Tie annual and interim periods separately. | Check mix and repeatability. |
| **Operating earnings** | Filed results when available | Separate operating performance and financing remeasurement. | Independent QoE pending. |
| **Working capital** | Cash flow and balance sheet notes | Bridge payment timing and customer/vendor balances. | Normalize before forecasting. |
| **Cash conversion** | Operating cash flow and cash capex | Compare cash measures and assess noncash lease additions. | Check cash obligations separately. |
| **Debt-like items** | Financing and commitments notes | Reconcile debt, leases, and preferential claims. | Equity bridge pending. |

## 4 Valuation and Market Comparisons

The workbook projects five years of unlevered cash flow from reported revenue and editable operating assumptions. An assumed discount rate and perpetual growth drive enterprise value and a sensitivity grid. This is a conditional scenario. A dated market price and complete equity bridge are required before judging upside. At a 9.0% discount rate and 2.5% terminal growth, the scenario enterprise value is $2,177.8 billion at FY2026 year end. The discounted terminal value accounts for 75% of that result.

| METHOD | BASIS / PROCEDURE | KEY SENSITIVITIES | VERIFICATION |
|---|---|---|---|
| **DCF** | Five-year FCFF scenario | Growth, margin, capital intensity and discount rate | Illustrative assumptions |
| **Trading peers** | Pending dated comparable inputs | Business mix, fiscal periods, equity and debt bridge | No multiple published |
| **Precedent M&A** | Pending comparable transactions | Control premium, timing and rights | No multiple published |
| **LBO** | No control transaction assumed | Sponsor entry, debt covenants and exit terms | Out of scope |

## 5 Financing and Capital Requirements

No control transaction is assumed. Evaluate capacity after shareholder distributions, manufacturing commitments and a normalized cash conversion bridge.

| VALUE-CREATION LEVER | OPERATING KPI / CONTROL | 100-DAY DILIGENCE PRIORITY |
|---|---|---|
| **Retention and upsell** | iPhone mix and Greater China sales | Review cohorts and concentration. |
| **Margin improvement** | Services gross margin and distribution terms | Bridge unit cost and reinvestment. |
| **Add-on M&A** | No acquisitions underwritten | Review only identified opportunities. |
| **Debt and commitments** | Inventory, payables and cash capital expenditure | Reconcile obligations by due date. |
| **Exit and liquidity** | No exit price assumed | Verify rights and financing access. |

## 6 Quantitative Research and Model Checks

No portfolio return statistics are published without an aligned, point-in-time total-return series. The scenario narratives describe mechanisms to test. They carry no assigned probabilities.

| MODEL / METRIC | METHODOLOGY | PASS / ESCALATION |
|---|---|---|
| **Beta and tracking error** | Use aligned total returns and an appropriate benchmark. | Pending verified series |
| **VaR and CVaR** | Evaluate over a sufficient sample and stress regimes. | Withheld |
| **Drawdown** | Use date-aligned peak-to-trough returns. | Withheld |

| MODEL / METRIC | METHODOLOGY | PASS / ESCALATION |
|---|---|---|
| **Forecast validation** | Check fiscal alignment and reconcile inputs to filings. | Independent review pending |
| **Scenario analysis** | Base case. Upgrade growth moderates and Services offsets part of the slower hardware cycle. | Stress against bear case. |

## 7 Legal Tax Cyber and Governance

| WORKSTREAM | MINIMUM DOCUMENTS | RED FLAG / CLOSING GATE |
|---|---|---|
| **Legal and corporate** | Filings, governance documents and litigation dockets | Review App Store litigation and regulatory remedies, supplier concentration, succession and privacy controls. Quantify distribution economics under alternative app terms. |
| **Debt and commitments** | Credit and commercial contracts | Test maturities, remedies and liquidity. |
| **Tax** | Tax disclosures and relevant jurisdiction filings | Reconcile recurring taxes and disputes. |
| **Cyber and privacy** | Incident disclosures and security controls | Review independent assurance. |
| **Governance and people** | Board, voting and succession disclosures | Confirm control and approvals. |

## 8 Risk Register and Decision Gates

| MATERIAL RISK | INHERENT SEVERITY | REQUIRED MITIGATION | GATE |
|---|---|---|---|
| **Hardware concentration and platform regulation** | High | Reconcile normalized working capital and run a combined iPhone mix and Services margin stress. | Open |
| **Upside case** | Scenario | Premium device mix holds and Services margin remains resilient. | Test |
| **Downside case** | Scenario | Weak device demand and changes to platform terms squeeze revenue and margin. | Test |
| **Liquidity and cash timing** | High | Build a dated commitments and cash bridge. | Open |
| **Model risk** | High | Review source dates, assumptions and scenario outputs. | Open |

## 9 Evidence Log and Review Workflow

| ITEM / ID | OWNER / SOURCE | STATUS | DECISION RELEVANCE |
|---|---|---|---|
| **FIN-01 Accounts** | Issuer filings or auditor | Reviewed publicly | Audited fiscal years. Cash capital expenditure is payments for property, plant and equipment. FY2026 ended September 26. |
| **FIN-02 Earnings quality** | Finance diligence | Open | Reconcile operating profit and cash. |
| **COM-01 Commercial review** | Research desk | Open | iPhone mix and Greater China sales |
| **LEG-01 Governance** | Legal diligence | Open | Confirm decision rights and exposures. |
| **DEAL-01 Financing** | Treasury diligence | Open | Inventory, payables and cash capital expenditure |

## 10 Investment Committee Resolution

Proposed research disposition is defer. Reconcile normalized working capital and run a combined iPhone mix and Services margin stress. This report records no investment approval or reviewer sign-off.

| SIGN-OFF | NAME / DATE | DECISION / COMMENTS |
|---|---|---|
| **Lead investment professional** | Pending | No sign-off recorded |
| **Financial diligence lead** | Pending | No sign-off recorded |
| **Legal / compliance** | Pending | No sign-off recorded |
| **Risk / quantitative review** | Pending | No sign-off recorded |
| **Investment committee chair** | Pending | No sign-off recorded |

## Appendix Workbook Guide and Sources

Read START HERE and Inputs before editing. The Financials tab separates historical evidence from forecasts. Blank schedules represent unavailable or out-of-scope inputs.

Source references follow. Reconcile changes to the reporting period and retain a dated record of the evidence reviewed.

FY2026 10-K · Item 7 · Products and Services Performance

FY2026 10-K · Item 8 · Consolidated Statements of Cash Flows

FY2026 10-K · Item 7 · Services

2026-11-02 September quarter and full-year results

2026-11-03 Fiscal 2026 annual filing